



03

TUTORIAL THREE

THE INCOME STATEMENT & RECORDING TRANSACTIONS II

Mini Case: Armadillo Surfing Design (ASD)

Adapted from "An Introduction to Accounting: Accountability in Organisations and Society", 1st edition, Cengage

THE CASE: THE MISSING ACCOUNTING RECORDS PART 2

Refer to Part 1 from last week.

ACTIVITIES

Refer to the events described in Part 1 and with reference to your discussion on the Balance Sheet last week, briefly describe the impact, if any, of each event on the Income Statement.

Solution



1 June 20X8	ASD purchased new machinery at a cost of \$140,000 by way of a bank loan. It was installed the same day and is expected to have a useful life of seven years after which time it will have no economic value.
3 June 20X8	ASD purchased 150 'save our oceans' t-shirts for \$3,000 payable in 14 days. These t-shirts are sold exclusively at the ASD-hosted beach clean-ups.
5 June 20X8	ASD made a sale worth \$135,000 to a new retailer who has agreed to stock their entire range. This new customer is required to make payment in seven days. The cost of the goods sold by ASD was \$80,000.
7 June 20X8	ASD paid staff wages of \$42,000.
12 June 20X8	ASD receive the \$135,000 from the sale made on 5 June 20X8.

17 June 20X8	ASD make the payment of \$3,000 related to the t-shirt purchase on 3 June 20X8
19 June 20X8	ASD renegotiated their plan with their telecommunications provider. They expect that under the new plan, they will save \$800 in telecommunications expenses each month.
20 June 20X8	ASD hosted a local beach clean-up; 14 kg of rubbish was removed from local beaches. The exposure generated in the lead-up to the event resulted in 460 new Instagram followers.
20 June 20X8	ASD sold 120 'save our oceans' t-shirts at the beach clean-up event. Customers were required to pay in cash on the day of the event. The t-shirts sold for \$50 each.
22 June 20X8	Dillon discovers that one of their employees was incorrectly storing some of the rubbish from the beach clean-up. After recent storms, much of this rubbish has been washed into the nearby waterways and estuaries.

25 June 20X8	ASD was named in a damaging post on Facebook in relation to the rubbish from the beach clean-up that ended up polluting the local waterways. The post was highly critical of ASD and so the business decided to apply to Facebook to have the review removed. On 27 June, the post was removed. During the period 25 June – 27 June, three local retailers contacted ASD to advise that they will not purchase any further goods from the company. This lost future sales are estimated to total \$160,000 per year.
26 June 20X8	ASD decide to switch their courier service provider after learning that the current courier service they use has been underpaying its workers. According to recent media reports, workers had been underpaid a combined total of \$280,000 over the past three months

The following questions have been adapted from Attrill, Peter, McLaney, E. J., and Harvey, David "Accounting: Information for Business Students", 1st edition, Pearson Australia

Multiple Choice Questions

1. Under accrual accounting, income is:

- A) the cash received from customers for goods or services provided by the business.
- B) the cash collected from accounts receivable.
- C) the money the owner puts into the business to start operations.
- D) the inflow of assets or the reduction in liabilities that arise as a result of trading operations.

2. Which of the following is an expense for the period?

- A) Inventory bought on credit on the last day of the period.
- B) Equipment bought on credit on the last day of the period.
- C) Wages that are paid to employees in advance for the next 2 weeks.
- D) Supplies that were consumed in the period but were bought at the start of the period.

3.1.If equity at the beginning of the period is \$45,000 and at the end of the period is \$56,000, and \$20,000 is withdrawn by the owner during the period, calculate profit.

- A) \$1, 000
- B) \$31, 000
- C) \$76, 000
- D) \$41, 000



Practice Questions

Question 1

You have been provided with the balances carried forward from the statement of financial position as at 31 December 2018 for Daisy Ltd. During 2019, the following transactions took place:

1. Wages totaling \$45,600 were paid during the year
2. Electricity bills totalling \$5,400 for the four quarters of the year were paid
3. Inventories totaling \$286,000 were bought on credit
4. Sales revenue on credit totalled \$422,000 (cost 254,000)
5. The owners withdrew equity in the form of cash of \$46,000
6. Cash sales revenue totalled \$84,000 (cost 50,000)
7. Receipts from trade receivables totalled \$396,000
8. Payments to trade payables totalled \$312,000
9. Bought land paying a cash amount of \$30,000

REQUIRED:

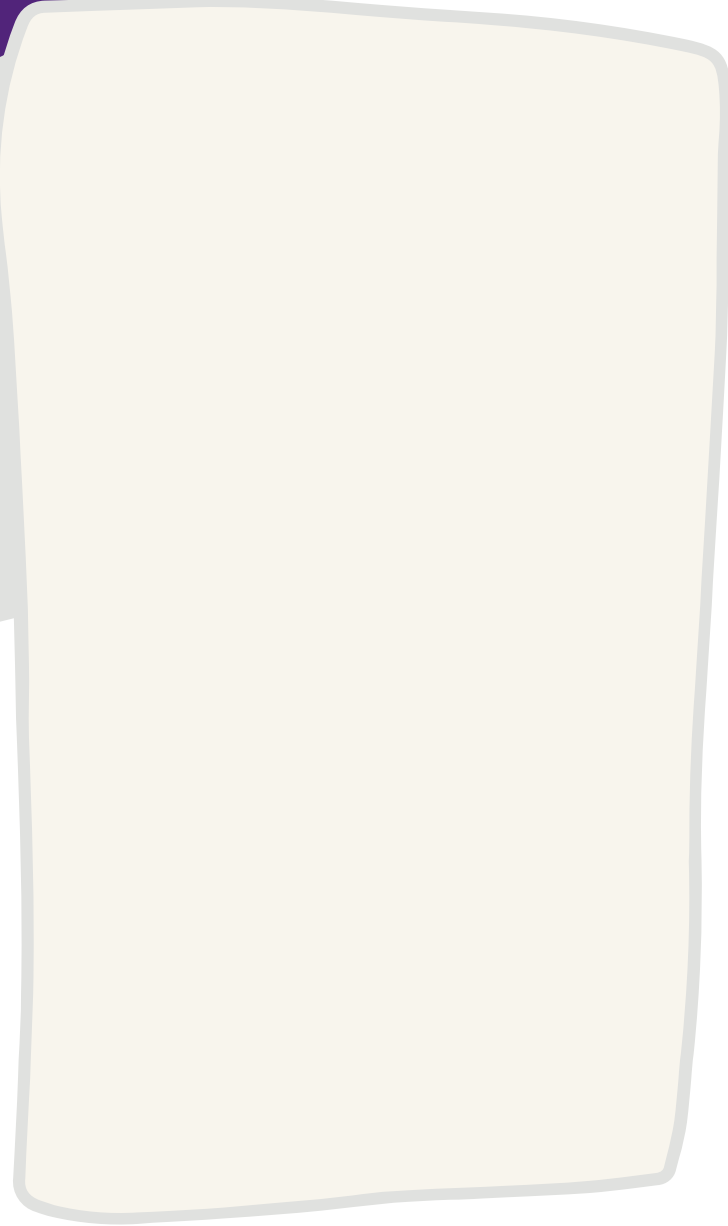
Complete the worksheet below for the above transactions and calculate the ending balances of all accounts.

Solution

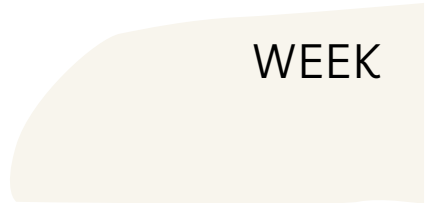
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WEEKLY NOTES

TO DO

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WEEK

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NOTES

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NEXT WEEK

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Notes

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